Stock Market Case Studies – Answers

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Comparison Sheet

Company	CEO	Business Model/Product	Highest Value Point	Total Financial Losses	Reasons for Failure
Enron	Kenneth Lay and Jeffrey Skilling	Energy company that traded gas and electricity contracts	About $60 billion; stock at $90.75 (2000)	About $74 billion for shareholders; 20,000 jobs and employees' retirement savings	Fake profits, hidden debt, and an auditor that helped hide it
FTX	Sam Bankman-Fried	Crypto exchange with its own token (FTT)	Over $32 billion	About $8 billion of customer money	Used customers' money to cover losses at his trading firm (Alameda); no controls
Theranos	Elizabeth Holmes	Blood tests from a few drops of blood (finger prick)	About $9 billion (2014)	About $945 million from investors	The technology never worked; lied to investors and patients
WeWork	Adam Neumann	Coworking: rented offices long-term, rented desks short-term	$47 billion (2019)	Bankrupt in 2023; SoftBank lost about $14 billion	Grew too fast, lost billions, CEO used the company for himself

Questions

1. What is one similarity each of these businesses/CEO's shares that led to their downfall?

Each CEO sold a story much bigger than the reality, and investors, boards and the media believed it without checking the numbers. When the truth came out, the company collapsed fast.

2. All of these CEOs have been villainized by the media and the public; do you feel this is a fair judgement? Why or why not.

Mostly yes. The leaders of Enron, FTX and Theranos were convicted of fraud and hurt thousands of people. But the blame should be shared with the auditors, investors and media that hyped them, and Neumann was never charged with a crime, so he is not in the same category.

3. These businesses have been used as examples of what not to do. Choose ONE and explain why you believe it to be the best example of how not to succeed in business.

Enron, because it got everything wrong at once: fake profits, hidden debt, an auditor that covered it up and a toxic culture. Its leaders sold their shares while employees lost their savings, and it was so bad that the US passed a new law (Sarbanes-Oxley, 2002).

4. These are very diverse businesses; is there one you feel could've maintained viability had it been managed better? Explain your reasoning.

WeWork. Unlike Theranos, whose machine never worked, flexible office space is a real product people want. With slower growth, cheaper leases and a responsible CEO it could have survived, and WeWork still operates today after leaving bankruptcy in 2024.

5. What is one lesson about business and/or investing that you can take away from these cases? Explain in detail.

Don't invest because of hype or famous names; check how the company actually makes money. Theranos had famous board members and FTX had celebrity ads, but nobody checked the facts. It's also important to diversify: Enron employees lost their jobs and their savings at the same time because their retirement accounts were full of Enron stock.